BUSFIN 8200: Asset Pricing Foundations
Problem Set 2

October 20, 2026

Question 1

Question 2

2a)

Figure 1: Coefficients b of the SDF $M_t^* = a - b'xR_t$ that prices the monthly excess returns of the 10 value-weighted book-to-market decile portfolios (July 1927 to August 2026), under the normalization $\widehat{\mathbb{E}}[M^*] = 1$. Excess returns are in decimal units.

Question 3

Question 4